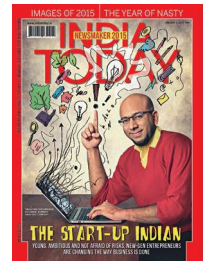
FROM THE

EDITOR-IN-CHIEF

Just two years ago, the dark clouds of Covid-induced economic havoc came with a silver lining of dazzling shine: start-ups. The world saw the birth of several hundred 'unicorns'—start-ups valued at or above $1 billion (Rs 8,200 crore). India too saw an unprecedented boom in the sector, with the new technology-led businesses becoming part of the vocabulary of its growth story. We had all of 108 start-ups in the unicorn club as on May 31, 2023, among a total of 84,000-odd start-ups: the third largest base in the world on both counts. In the past three years, these generated over 860,000 new jobs in the country. The Indian government till recently valued the unicorns alone at $340.8 billion, or Rs 28 lakh crore. Almost 10 per cent of a $3.5 trillion (Rs 287 lakh crore) economy. A clutch of hundred newbies creating that kind of wealth in a short period caught everyone's attention.

Unfortunately, the good news has not lasted. What we are witnessing now is a veritable crash of this phenomenon. Most unicorns are posting heavy losses, some are bleeding on the stock exchanges. Paytm, Policy Bazaar and Nykaa, which went public in 2021, have seen share prices fall way below the listing price. Several thought it fit to shelve their IPOs amidst the negativity. Indian start-ups raised only $3.8 billion (Rs 31,200 crore) in the first half of calendar year 2023 and, by the end of the year, are projected to get only half of the $24 billion (Rs 2 lakh crore) they mopped up in 2022.



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The oxygen funding these operations has diminished or dried up. Many start-ups are struggling even to pay salaries to their employees. Industry trackers say 88 start-ups laid off over 25,000 staff in the first three months of 2023. Some companies continue to hand out pink slips, including unicorns such as Byju's, Cars24, Dunzo, Ola, OYO, Meesho, Unacademy and Vedantu. The edtech segment has seen the most layoffs, with 19 start-ups shedding over 9,000 employees. The fall seems the steepest for Byju's. It lost its 'decacorn' status after Prosus, one of its biggest investors, slashed the edtech firm's valuation by three-fourths—from $22 billion (Rs 1.6 lakh crore) to $5.1 billion (Rs 41,838 crore)—in less than one year. Byju's started on a layoff spiral last October, aiming to retrench about 5 per cent or 2,500 of its staff by March. In June, it laid off another 1,000.

What explains this sudden doom and gloom in a sunrise sector? Many of these companies were created and/or got a boost due to a black swan event—the Covid pandemic. As outdoor activity was curtailed for months on end, it led to an unprecedented boom in the demand for online services. These ranged across basic needs like education, food and health & hygiene to necessary luxuries like entertainment and other lifestyle needs. In India, online services were already transiting from healthy infancy to boisterous teenhood; now they found themselves placed advantageously for the extended phase of home-bound living. Online customers surged. Food delivery apps such as Zomato and Swiggy hit gold. So did the edtech sector, as school closures drove desperate parents to take their children online.

Money then flowed like a dam had burst. Indian start-ups, which had received $13.2 billion (Rs 1 lakh crore) in 2019 before registering a minor Covid dip to $10.9 billion (Rs 89,500 crore) in 2020, saw funding shoot up to a peak of $35.2 billion (Rs 2.9 lakh crore) in 2021 as the opportunities the pandemic had created became evident. But extraneous factors had a big hand in this: developed countries had followed what proved to be a profligate model of pandemic management, pumping in a massive stimulus to prevent their economies from going into a slump. The US put over $5 trillion out there, Europe followed suit with $875 billion. This steroidal dose made markets flush with liquidity, and a significant overflow flooded emerging markets too. Like with the cryptocurrency bubble, hot money was channelled by a kind of herd mentality. Also, there is an incestuous relationship among venture funds, who drive up valuations between themselves. The corollary was waiting to be written at the recipient's end. "When you get easy money, you tend to waste it," Kunal Nandwani, co-founder and CEO of uTrade Solutions, tells INDIA TODAY. "But the reality is that you are in a short cycle and, eventually, your business model has to work." It often didn't.

This tale of hubris, the reasons for it, and the paths of possible redemption is what Executive Editor M.G. Arun describes in his cover story this week. One reason is that start-ups got funds based on mark-to-market valuations—an accounting method known to be iffy during volatile times—rather than real performance emanating from a proper business model. These unreal valuations drove everything. The perils of doing so became clear as the two enabling factors behind the boom ebbed away. One, as the pandemic lifted and India's economy resumed normal business, the graph of online businesses declined as they went from being absolute necessities to an option on the menu. The consumer was the richer for it, but not the companies themselves. Two, the West's season of stimulus created its own Frankenstein's monster. Inflation rose, touching over 9 per cent by June 2022 in the US, and the Fed went into a series of interest rate hikes. That soaked up all the surplus money—America was now more lucrative, and venture capitalists simply closed the tap on start-ups.

There is a moral to all this. Those who erred on the side of overweening ambition are suffering. The smarter start-ups are adapting and looking to firm up their fundamentals rather than merely chasing valuations based on projected revenues, which were often far off the mark in the real world of business. Industry expert Kris Gopalakrishnan, co-founder of Infosys and chairman of Axilor Ventures, believes the shakedown is a temporary phase. His reason: "It's part of an economic cycle caused by a global slowdown. Investors have now multiple avenues for safer investments. But I remain bullish about India's start-up ecosystem over the medium and long term." His advice: start-ups must hunker down, stay relevant, find solutions for customers in the technology transitions that are taking place and create institutions with a long-term value proposition.

In short, Indian start-ups, instead of training for a 100-metre dash, should develop the stamina of marathon runners to survive and thrive. Also, not to forget the key fundamental of business: making a profit.

(Aroon Purie)